

3. 9:00 AM CASE NUMBER: C23-03011
CASE NAME: ANGEL MONTOYA VS. CITY OF RICHMOND
*HEARING ON MOTION IN RE: FILE FIRST AMENDED COMPLAINT
FILED BY: MONTOYA, ANGEL

TENTATIVE RULING:

Plaintiff moves for leave to file a First Amended Complaint. Defendant specifically does not oppose filing of the First Amended Complaint attached to the motion. **The motion is granted.** The First Amended Complaint attached to the motion is to be separately filed with the court within ten days after notice of entry of this order.

4. 9:00 AM CASE NUMBER: C24-00861
CASE NAME: NAVY FEDERAL CREDIT UNION VS. FREDERICK MERRIDA
*HEARING ON MOTION IN RE: ATTORNEY FEES AND COSTS
FILED BY: NAVY FEDERAL CREDIT UNION

TENTATIVE RULING:

Granted. The agreement contained an attorney fee provision, and the amount requested is within the schedule in Local Rule 2.40. There is no opposition.

5. 9:00 AM CASE NUMBER: C24-01376
CASE NAME: XUE XIE VS. SHENG LIN
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT
FILED BY: LIN, SHENG PING

TENTATIVE RULING:

Defendant Sheng Ping Lin's demurrer to Plaintiff Xue Fen Xie's Second Amended Complaint is **sustained without leave to amend as to the second cause of action for constructive trust. The demurrer is otherwise overruled.** Plaintiff shall prepare a proposed order consistent with this ruling and shall serve notice of entry of order.

Background

Plaintiff's Second Amended Complaint (SAC) alleges that in 2021 defendant Sheng Ping Lin told plaintiff Xue Fen Xie that if she paid the mortgage, property taxes, and utilities for the property located at 1115 Ivy Court in El Cerrito, he would add her name to the title. Plaintiff alleges that she relied on defendant's promise and paid the adjustable-rate mortgage from April 2021 through April 2024, in amounts totaling \$223,424. Plaintiff alleges that the parties' agreement was later modified to include plaintiff's payment for substantial renovations to the property, including remodeling the kitchen and improving the second floor, at a cost of \$179,564. Plaintiff alleges a further modification under which plaintiff agreed to fund the construction of an accessory dwelling unit for \$86,600. Plaintiff expended more than \$489,588 in total. Plaintiff alleges that in April 2024 defendant told plaintiff that he intended to sell the property, and when plaintiff asked him either to add her to the title or to return her money, he refused.

Based on these allegations, the complaint asserts four causes of action. The first cause of action for breach of contract alleges an oral agreement under which plaintiff would pay mortgage-related expenses and fund improvements in exchange for defendant's promise to add her to the title, and that defendant breached that agreement by refusing to do so or to reimburse her. The second cause of action for constructive trust alleges that defendant continues to hold title to the property and the

benefits of plaintiff's expenditures, and that defendant also receives rental income from the property, which should be held in constructive trust for her benefit. The third cause of action for unjust enrichment alleges that defendant received and retained benefits from plaintiff's payments and her work on the property. The fourth cause of action for declaratory relief alleges an actual controversy relating to the parties' respective rights and obligations.

Standards

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (*Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967.)

A demurrer for uncertainty CCP 430.10, subdivision (f) will only be sustained where the pleading is so unclear that the defendant cannot reasonably respond—*i.e.*, cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (*Ibid.*)

Meet and Confer

CCP section 430.41 requires that "[b]efore filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." (CCP § 430.41, subd. (a).)

Defendant satisfied the statutory meet and confer requirements before filing the demurrer. (See Declaration of William C. Lynn, ¶¶ 5-10.)

Analysis

(1) Uncertainty

Defendant's demurrer to the SAC on the ground of uncertainty is overruled. The SAC is not so poorly drafted that defendant cannot reasonably respond.

(2) Breach of Contract

Defendant argues the first cause of action for breach of an oral contract arises from an oral agreement that violates the statute of frauds.

An oral agreement made "for the leasing for a longer period than one year, or for the sale of real property, or of an interest therein" is invalid absent a written and signed "note or memorandum thereof." (Civ. Code § 1624, subd. (a)(3).) "No estate or interest in real property, other than for leases for a term not exceeding one year, nor any power over or concerning it, or in any manner relating thereto, can be created, granted, assigned, surrendered, or declared, otherwise than by operation of law, or a conveyance or other instrument in writing, subscribed by the party creating, granting, assigning, surrendering, or declaring the same, or by the party's lawful agent thereunto authorized by

writing." (CCP § 1971.)

Plaintiff alleges as follows in her first cause of action for breach of oral contract:

24. In April 2021, Defendant LIN persuaded Plaintiff to enter into an oral AGREEMENT in El Cerrito, California in which Defendant asked Plaintiff to pay for the mortgage, property taxes and utilities, which later underwent modifications to include Plaintiff's agreement to subsequently rehabilitate or remodel the Property. Plaintiff paid for the mortgage, property taxes and utilities, provided remodeling and home construction services to Defendant. []

25. To further entice Plaintiff, Defendant executed multiple special powers of attorneys for Plaintiff which expired on January 2024. See Exhibits A and B.

26. Pursuant to the AGREEMENT, Defendant promised to add Plaintiff's name to the property.

27. From April 2021 until April 2024, Plaintiff has paid \$223,424.00 [toward the] mortgage.

28. In reliance of Defendant's promise, Plaintiff renovated the Property in the amount of \$179,564.00. The renovation includes remodeling the kitchen [and] improving the second floor.

29. Further, in reliance of Defendant's promise, Plaintiff added an Accessory Dwelling Unit in the backyard for the Property costing the sum of \$86,600.00.

30. In sum, in reliance of Defendant's promise, Plaintiff has expended more than \$489,588.00 into the Property.

31. Plaintiff has performed all conditions, covenants, and promises required to be performed by it in accordance with the terms and conditions of the AGREEMENT.

32. In April 2024, Defendant told Plaintiff that he intends to sell the Property. Thereafter, Plaintiff demanded that Defendant adds her name and/or return her money, but Defendant refused.

33. As set forth and alleged herein, Defendant LIN breached the AGREEMENT with Plaintiff and his duties to Plaintiff. As a result of Defendant's breach, Plaintiff has suffered actual damages in excess of \$489,588.00, including damages for uncompensated time, labor, and work it used to renovate the 1115 Ivy Court Property, plus interest at the legal rate from and after the date due according to proof.

"The doctrine of part performance by the purchaser is a well-recognized exception to the statute of frauds as applied to contracts for the sale or lease of real property. [Citation.] Under the doctrine of part performance, the oral agreement for the transfer of an interest in real property is enforced when the buyer has taken possession of the property and either makes a full or partial payment of the purchase price, or makes valuable and substantial improvements on the property, in reliance on the oral agreement. [Citation.]" (*Sutton v. Warner* (1993) 12 Cal.App.4th 415, 422 (*Sutton*)).

In reply, defendant argues that plaintiff does not allege sufficient facts to show that the exception of part performance applies because Plaintiff cannot plead that she was in possession of the property, as required by *Sutton*.

Here, the court need not decide whether the part performance exception applies on these particular facts because, "[t]he doctrine of estoppel to assert the statute of frauds has been consistently applied

by the courts of this state to prevent fraud that would result from refusal to enforce oral contracts in certain circumstances. Such fraud may inhere in the unconscionable injury that would result from denying enforcement of the contract after one party has been induced by the other seriously to change his position in reliance on the contract, or in the unjust enrichment that would result if a party who has received the benefits of the other's performance were allowed to rely upon the statute." (*Monarco v. Lo Greco* (1950) 35 Cal.2d 621, 623-624; *Smyth v. Berman* (2019) 31 Cal.App.5th 183, 198; see also *Dallman Co. v. S. Heater Co.* (1968) 262 Cal.App.2d 582, 588-89 ["An oral agreement (otherwise within the statute of frauds) will be held enforceable if the plaintiff, in justified reliance upon it, has so changed position that unconscionable injury would result, or the defendant, having accepted the benefit of the contract, would be unjustly enriched by its nonenforcement."].)

Here, the SAC alleges that plaintiff spent approximately \$489,588 to carry the property and to make renovations and permanent improvements, in reliance on an alleged agreement that she would have an ownership interest. Thus, even if the part-performance elements are disputed, the SAC adequately pleads that defendant should be estopped from asserting the statute of frauds because plaintiff would suffer unconscionable injury if the agreement was not enforced, and defendant would be unjustly enriched.

Defendant also argues the SAC is defective because it does not allege when defendant was required to add plaintiff to the title, making the agreement indefinite and unenforceable. Defendant speculates about possible performance timelines and claims that, depending on which hypothetical applies, the first cause of action is barred by the statute of frauds or the two-year statute of limitations.

The court is not persuaded by these arguments. It is true that an agreement that by its terms is not to be performed within a year from the making thereof comes within the statute of frauds. (Civ. C. § 1624(a)(1).) However, the critical words are "by its terms," that is, only those contracts which expressly preclude performance within a year fall under this provision of the statute of frauds. If it is merely unlikely that it will be so performed, or the period of performance is indefinite, the statute does not apply. That is the case here.

In addition, in a suit to enforce an oral agreement, the statute of limitations begins to run when the agreement is repudiated. (*Parker v. Walker* (1992) 5 Cal.App.4th 1173, 1190.) Plaintiff alleges that defendant repudiated the contract in April 2024 when said he intended to sell the property without reimbursing plaintiff's contributions or conveying title. (SAC ¶¶ 32-33.) Nothing on the face of the SAC shows that the statute of limitations began to run before this time.

Based on the foregoing, the court finds that plaintiff has alleged facts sufficient to constitute a cause of action for breach of contract. As such, the demurrer to the first cause of action is overruled.

(3) Constructive Trust

Defendant argues that constructive trust is a remedy, and not a standalone claim. The court agrees. (See *Glue-Fold, Inc. v. Starbucks Corp.* (2000) 82 Cal.App.4th 1018, 1023 fn. 3.) As such, the demurrer to the second cause of action is sustained without leave to amend.

While the court sustains the demurrer, it recognizes the potential availability of such relief may be tethered to one or more of the other causes of action. Thus, the court's ruling as to the constructive trust as a cause of action does not necessarily preclude such remedy being awarded as to one or more of the remaining causes of action if allowable under California law. In other words, sustaining the demurrer of the claim for constructive trust does not necessarily remove the possibility of obtaining a

constructive trust.

(4) Unjust Enrichment

As with the second cause of action, Defendant argues that the third cause of action fails because unjust enrichment is a remedy, not a standalone claim.

There is a split of authority on whether unjust enrichment is a cause of action. (See, e.g., *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793 [no cause of action for unjust enrichment]; *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387 [same]; *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370 [same]; *Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.* (2018) 29 Cal.App.5th 230, 238 [cause of action exists]; *FDIC v. Dintino* (2008) 167 Cal.App.4th 333, 346-347 [same]; *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1132 [same].)

Where it has been held to be a cause of action, the elements of a cause of action for unjust enrichment are simply stated as "receipt of a benefit and unjust retention of the benefit at the expense of another." (*Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.*, *supra*, 29 Cal.App.5th at 238.)

Plaintiff alleges that defendant benefitted from plaintiff's payments and improvements without placing plaintiff on title to the property, and that restitution is necessary to prevent inequitable retention of benefits. Since the caselaw recognizes unjust enrichment as a standalone claim, the court will allow Plaintiff to maintain her second cause of action.

(5) Declaratory Relief

A declaratory relief action under CCP section 1060 requires two elements: (1) a proper subject for declaratory relief; and (2) an "actual controversy involving justiciable questions relating to the right or obligations of a party." (*Lee v. Silveira* (2016) 6 Cal.App.5th 527, 546.)

Plaintiff alleges as follows in the fourth cause of action:

59. An actual controversy has arisen and now exists between Plaintiff XUE FEN XIE and Defendants and each of them, concerning their respective rights and duties to Plaintiff, and the real properties that Plaintiff expended time, money and labor for its construction services in which Defendants have benefited.

60. Plaintiff seeks a judicial determination as to Defendant's rights to reimbursement, rental benefits and profits generated from these real properties as part of their modified agreement.

61. A judicial determination of the rights and responsibilities of the parties over the real properties in question is necessary and appropriate at this time that the uncertainty over the issues of reimbursement, rental benefits, ownership interest, and profits generated from these real properties.

Defendant argues that this claim is derivative of the breach of contract cause of action and is therefore unnecessary and duplicative. Sufficient facts have been pleaded to show an actual controversy between the parties. That a cause of action is duplicative or redundant is not a ground on which a demurrer must be sustained. (See *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 890.)